

CORPORATE GOVERNANCE

CHAIRMAN'S MESSAGE ON CORPORATE GOVERNANCE

GRI: 2-22



Mohan Pandithage
Chairman

During the year, Haycarb continued to strengthen its governance framework across expanding horizons, supporting responsible growth, disciplined oversight and enduring stakeholder confidence

The Haycarb Group operates through a diversified network of twenty legal entities spread across eleven countries, necessitating disciplined governance practices and effective oversight across its global operations. Managing this geographically dispersed footprint continues to require adherence to evolving legal and regulatory frameworks unique to each operating environment. Amid increasingly complex global dynamics, the Group remains steadfast in its commitment to the highest standards of corporate governance, anchored in the principles of transparency, accountability, ethical conduct and responsible stewardship. These principles continue to form the foundation of Haycarb's long-term resilience, sustainability and stakeholder trust.

The governance structure underwent further refinement during the year in response to several strategic and operational developments across the Group. These included the commencement of construction activities relating to the Group's manufacturing operation in the Philippines and the commencement of commercial operations of Eurocarb Products Germany GmbH, necessitating strengthened governance oversight across expanding international operations. During the year, Ultracarb (Pvt) Limited, the Group's wholly owned subsidiary engaged in the manufacture of energy storage carbons, was amalgamated with Haycarb PLC to further streamline operations and strengthen organisational integration. Haycarb PLC was registered as an entity under Section 17 of the Board of Investment of Sri Lanka during the year. The objects clause of the Articles of the Association of the Company was rationalised through an Extra Ordinary General Meeting (EGM) of the shareholders for this purpose.

During the year, we continued to strengthen the integration of ESG principles into our business strategy and decision-making processes. Our Sustainability Framework continued to guide our efforts towards creating sustainable long-term value for all stakeholders while reinforcing responsible business practices across the Group. Reflecting our continued commitment towards transparency and stakeholder engagement, interim sustainability disclosures were published on the Company's website during the year. The Group also continued to mature its implementation of SLFRS S1 and SLFRS S2 disclosure requirements and has progressed towards obtaining independent assurance over related disclosures in line with emerging reporting expectations and global best practices. In addition, the Board undertook a comprehensive review of the governance policies published on the corporate website in line with the section 09 of the listing rules of the Colombo Stock Exchange (CSE), to ensure continued relevance and alignment with evolving governance expectations and regulatory developments.

The Board remains committed to maintaining a governance framework that is responsive to evolving stakeholder expectations and emerging business risks,

including those relating to sustainability, digitalisation, cybersecurity and regulatory compliance. During the year, we continued to uphold the principles embodied in the Code of Best Practice on Corporate Governance – 2023 issued jointly by the Institute of Chartered Accountants of Sri Lanka and the Securities and Exchange Commission of Sri Lanka, together with the applicable Listing Rules of the Colombo Stock Exchange. These frameworks continue to support disciplined oversight, balanced decision-making and the safeguarding of stakeholder interests across all levels of the organisation.

The Integrated Annual Report once again serves as an important element of our governance and accountability framework. Beyond mandatory disclosure requirements, the Report seeks to provide stakeholders with a balanced and transparent overview of the Group's governance practices, strategic priorities, sustainability initiatives and long-term value creation approach. Our focus extends beyond compliance, reflecting the Group's continued commitment towards responsible corporate citizenship and enduring stakeholder confidence.

As we navigate an increasingly dynamic global landscape, the Board remains focused on strengthening governance practices that support resilience, agility and sustainable growth across the Group's expanding horizons. I extend my sincere appreciation to the Board of Directors, Management, employees and all stakeholders for their continued dedication, professionalism and unwavering commitment towards upholding the values and purpose-driven vision of Haycarb.

By fostering transparency in our disclosures and decision-making, we empower stakeholders and foster enduring trust. This approach ensures not only regulatory compliance but also reflects our steadfast commitment to the true spirit of mindful governance.

Mohan Pandithage
Chairman

21st May 2026
Colombo